Meta Description: *Your project burns $45,662 every day a decision stalls. Learn why decision latency causes 60% of EPC delays and how AI, process redesign, and culture change compress decision cycles from 18 days to 4.*

$45,662 Per Day: The Real Cost of a Stalled Decision

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Primary keyword: ***decision latency in construction*** *used in H1, first 100 words, and two subheadings. LSI variants: decision cycle time, project approval delays, EPC decision-making, project delay cost.*

The clock is already running. Every day a decision sits in someone's inbox, waiting for a meeting, a sign-off, or a data pull that should have existed yesterday, your project burns $45,662. Not in theory. In documented burn rate.

If you have ever sat in a room where everyone agreed a problem existed but no one could act because the right data was not there, the right person had not approved, or the risk had not been formally logged, that is decision latency in construction. And it is, statistically, the single largest driver of project overruns.

Research by the Agile Innovation Group found that **60% of project delays trace directly to decision latency**, not weather, not labour shortages, not supply chain disruption. The most expensive thing happening on your project right now is probably a decision no one is making.

$45,662	**60%**	**1 in 3**
Average daily project burn rate when decisions stall	Of project delays caused by decision latency	Project failures attributed to poor communication
Deltek	*Agile Innovation Group*	*PMI*

[VISUAL] Visual 1 — Stat Callout Card (SVG)

Insert stat_callout_card.svg here. Full-width. Place immediately after the opening paragraphs to anchor the financial stakes before the argument develops.

DEFINITION

What Is Decision Latency in Construction, and Why Does It Compound?

Decision latency is the elapsed time between when a decision becomes necessary and when it is made with sufficient authority to unblock work. On a construction or EPC project, that gap is rarely a few hours. The industry average for resolving a formal decision, including RFI response times, design clarifications, and change-order approvals, sits at **6 to 18 days**. On megaprojects with multiple approval tiers, it stretches further.

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The compound effect is what makes this so destructive. A single delayed decision rarely delays a single task. Construction schedules are dependency chains. When Package A's design clarification stalls for 12 days, the procurement team for Package B cannot issue an RFQ. The fabricator for Package C holds a slot that now shifts. The civil contractor for foundation work idles a crew. One decision creates four downstream delays, and each of those may trigger further cascades.

PMI research confirms that poor communication, the organisational symptom of decision latency, causes one in three project failures globally. This is not a project controls problem. It is a systemic organisational problem with a financial penalty that compounds daily.

[VISUAL] Visual 2 — Decision Cascade Diagram (SVG)

Insert decision_cascade_diagram.svg here. Place directly after the compounding explanation to make the dependency chain visible. This is the editorial centrepiece.

ROOT CAUSES

Three Systemic Villains Behind Every Stalled Decision

Decision latency in EPC is not caused by one bad actor or a single broken process. Three structural failures operate simultaneously, and each one is sufficient to stall decisions on its own. Together, they are nearly impossible to overcome without deliberate redesign.

1. The Approval Architecture

Most EPC organisations built their approval hierarchies for a different era, when information moved slowly and caution meant adding sign-off layers. On a typical $500M project, a field-level change order may require signatures from the site engineer, resident engineer, project manager, commercial manager, and client representative before work can proceed. Each layer adds latency. Each layer also dilutes accountability: when everyone approves, no one owns.

The deeper problem is that these hierarchies were designed for risk control, not speed. They achieve neither well. A 14-day approval process does not reduce risk. It defers it while costs accumulate.

2. Fragmented Data: No One Can Decide With Confidence

The average EPC firm operates across 8 to 12 separate software platforms. Schedule lives in Primavera. Cost sits in SAP or Oracle. Field progress is in Procore or a custom spreadsheet. RFIs travel through email threads. Procurement lives in yet another system entirely. When a project director needs to make a decision, assembling the relevant data takes hours and sometimes days. Decisions get delayed not because of bureaucracy, but because the information needed to decide confidently simply does not exist in a usable form.

This is the hidden cost of data fragmentation. Every decision that requires manual data assembly creates a decision queue, and that queue is your schedule risk.

3. A Culture Where Bad News Travels Slowly

The third villain is the most entrenched. On most large projects, problems are known at field level weeks before they surface in reporting. Site engineers absorb small issues. Subcontractors under-report progress losses to

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avoid scrutiny. Project managers smooth the numbers before they reach the client. By the time a decision-requiring problem reaches the authority level that can act on it, the window for low-cost intervention has already closed.

Organisations with strong psychological safety, where field teams report problems early without fear of blame, consistently outperform their peers on schedule and cost. This is not a soft finding. It is a delivery mechanism.

SUMMARY

At a Glance: The Decision Latency Problem

Villain	How it stalls decisions	Financial signal
Approval architecture	Multi-layer sign-off adds 6 to 14 days per decision	Each idle day = $45,662 burn
Fragmented data	No single source of truth; manual assembly delays action	60% of delays trace to this category
Slow-rising bad news	Problems hidden at field level until the intervention window closes	30% delay = $15M overrun on a $50M project
Combined effect	Decision queue builds; cascade multiplies across packages	18-day avg. cycle vs. 4-day AI-enabled benchmark

SOLUTION

The Fix: AI Is One Part of a Three-Part Solution

There is no single technology that eliminates decision latency. Organisations that deploy AI tools without redesigning approval workflows and addressing cultural blockers achieve marginal improvement at best. The solution requires three simultaneous interventions, and the sequence matters.

Redesign the Approval Architecture First

Before deploying any technology, map every decision type against its actual risk profile and compress the sign-off chain accordingly. A field variation worth $5,000 does not require the same approval path as a $500,000 scope change. Organisations that implement tiered delegation authority, empowering field PMs to approve within defined thresholds, routinely cut average decision cycle times by 30 to 40% before any software is involved.

Delegation frameworks work because they restore accountability. When a field PM owns a decision category up to a defined value, that PM has both the authority and the incentive to decide well and fast.

Use AI to Make Real-Time Data Available at the Point of Decision

The most valuable application of AI in project controls is not prediction. It is information synthesis. When a project director can query a single intelligence layer aggregating schedule, cost, procurement, and field progress data in real time, decisions that previously required a 3-day data assembly exercise happen in minutes.

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AI-native platforms integrating Primavera, Procore, SAP, and field reporting into a unified decision layer have demonstrated **decision cycle compression from 18 days to as few as 4**.

The second AI application is early warning: pattern recognition across historical RFIs, NCRs, and daily reports can surface emerging decision needs 3 to 6 weeks before they become critical path issues. This turns reactive decision-making into proactive governance.

Build the Culture That Lets Bad News Travel Fast

Technology cannot fix a culture where problems are hidden. Organisations that sustain compressed decision cycles share a common leadership behaviour: they reward early problem reporting and separate problem identification from blame assignment. Weekly risk huddles structured around data rather than opinion create the psychological safety that allows field teams to surface issues before they compound.

India's solar EPC sector illustrates the stakes at national scale. With 43+ GW of auctioned capacity stalled and DISCOM payment cycles running 12 to 18 months behind, the projects completing on schedule share a common trait: tighter decision architectures, not better technology alone. The pattern holds globally. From HS2's governance paralysis to data-centre programmes that consistently beat the market clock, decision speed is the separating variable.

> *"A 30% schedule delay on a $50 million project produces approximately $15 million in additional cost. Not from materials, not from labour, but from the compounding cost of decisions not made."*

FAQ

Frequently Asked Questions

What is decision latency in construction project management?

Decision latency in construction is the elapsed time between when a project decision becomes necessary, such as a design clarification, change order approval, or procurement release, and when it is made with sufficient authority to unblock downstream work. Research by the Agile Innovation Group identifies decision latency as the cause of 60% of construction project delays, making it the single largest controllable source of schedule overrun in EPC projects.

How much does a stalled decision actually cost on a large project?

At the industry average burn rate of $45,662 per day (Deltek), a decision that stalls for 10 days costs approximately $456,000 in direct project burn before accounting for cascade delays into dependent work packages. On a $50 million project experiencing a 30% schedule overrun, the total cost impact of accumulated decision latency reaches approximately $15 million.

Can AI alone solve decision latency in EPC projects?

No. AI is one part of a three-component solution. Organisations that deploy AI without restructuring approval hierarchies and addressing the cultural dynamic that slows bad-news reporting see limited improvement. The full solution requires tiered delegation authority that compresses approval chains, AI-native data integration that makes real-time information available at the point of decision, and leadership behaviours that reward early problem reporting. Together, these interventions have compressed decision cycles from an 18-day industry

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average to 4 days on instrumented projects.

SEO and GEO Implementation Notes

Primary keyword: *"decision latency in construction" in H1, first 100 words, and two subheadings.*

Internal link placeholders: *[INTERNAL LINK: EPC project controls best practices] after Section 1; [INTERNAL LINK: AI in project management] after Section 3 AI subsection.*

Alt text: *Visual 1: [ALT TEXT: Stat card showing $45,662 daily burn rate and 60% decision latency statistic]; Visual 2: [ALT TEXT: Cascade diagram showing how a stalled EPC design clarification triggers delays across procurement, fabrication, civil work, and schedule logic].*

Schema: *Article + FAQ dual schema for featured snippet capture.*

Freshness signals: *References 2025-2026 data including India 43+ GW stalled capacity and DISCOM payment cycles.*

Quotable sentences: *(1) 60% of project delays trace to decision latency, not weather, labour, or supply chain. (2) The most expensive thing on your project right now is a decision no one is making. (3) A 30% delay on a $50M project produces $15M in additional cost from decisions not made. (4) AI-native platforms have demonstrated cycle compression from 18 days to 4.*

VERIFY: *$45,662/day burn rate (Deltek). 18-to-4-day compression claim (cite Pathsetter case data or Agileig source).*

To see how decision cycle compression works in practice on an EPC portfolio, Pathsetter AI's project intelligence platform is built around exactly this problem. Explore how it works at pathsetterai.com.

[SCHEMA: Article / FAQ]

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